

INDUSTRIAL POLICY, 1991 REFORMS, PSUS AND DISINVESTMENT

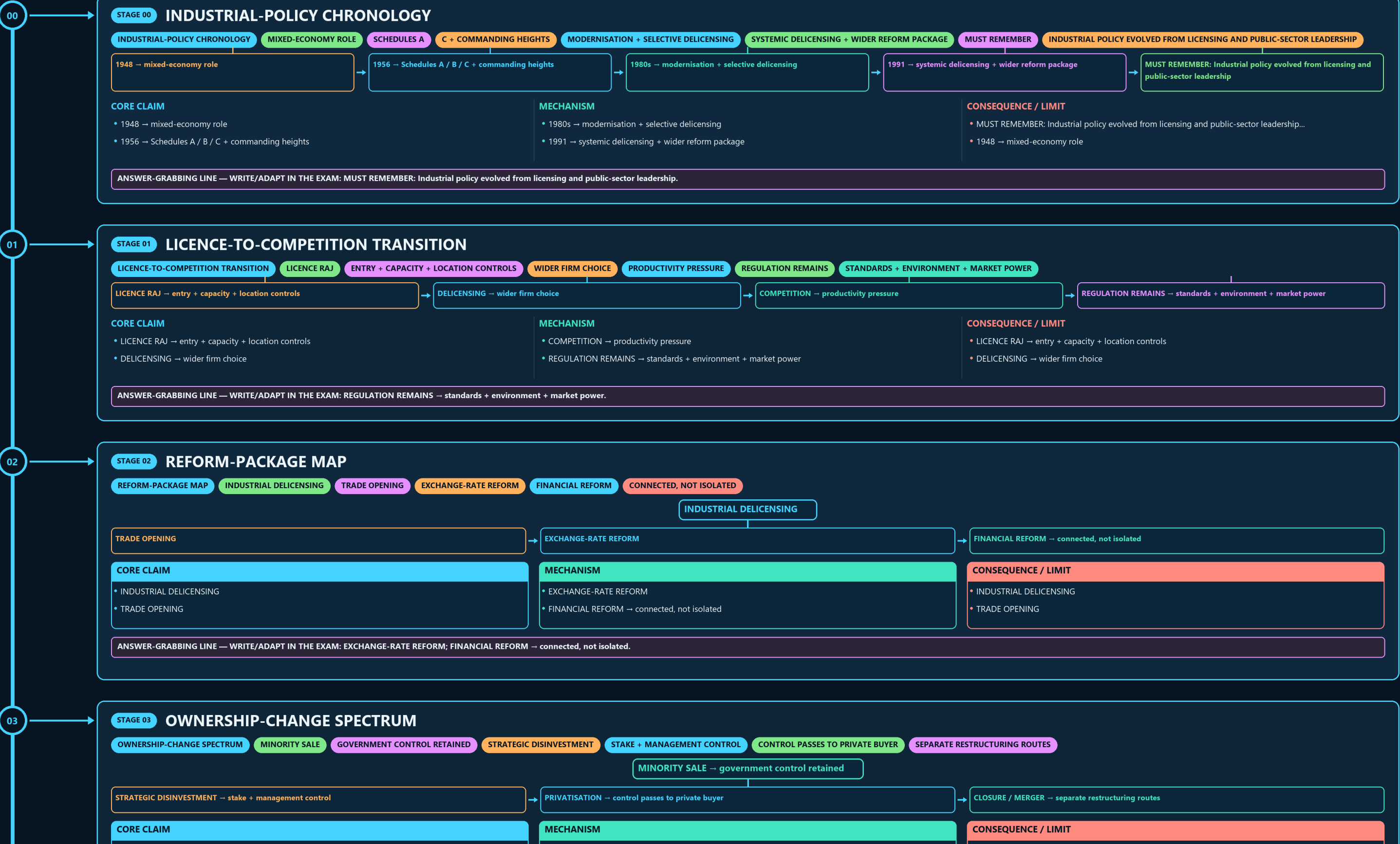
INDUSTRIAL-POLICY CHRONOLOGY → LICENCE-TO-COMPETITION TRANSITION → REFORM-PACKAGE MAP → OWNERSHIP-CHANGE SPECTRUM → AIR INDIA STATUS CHAIN → NEW PSE POLICY MAP

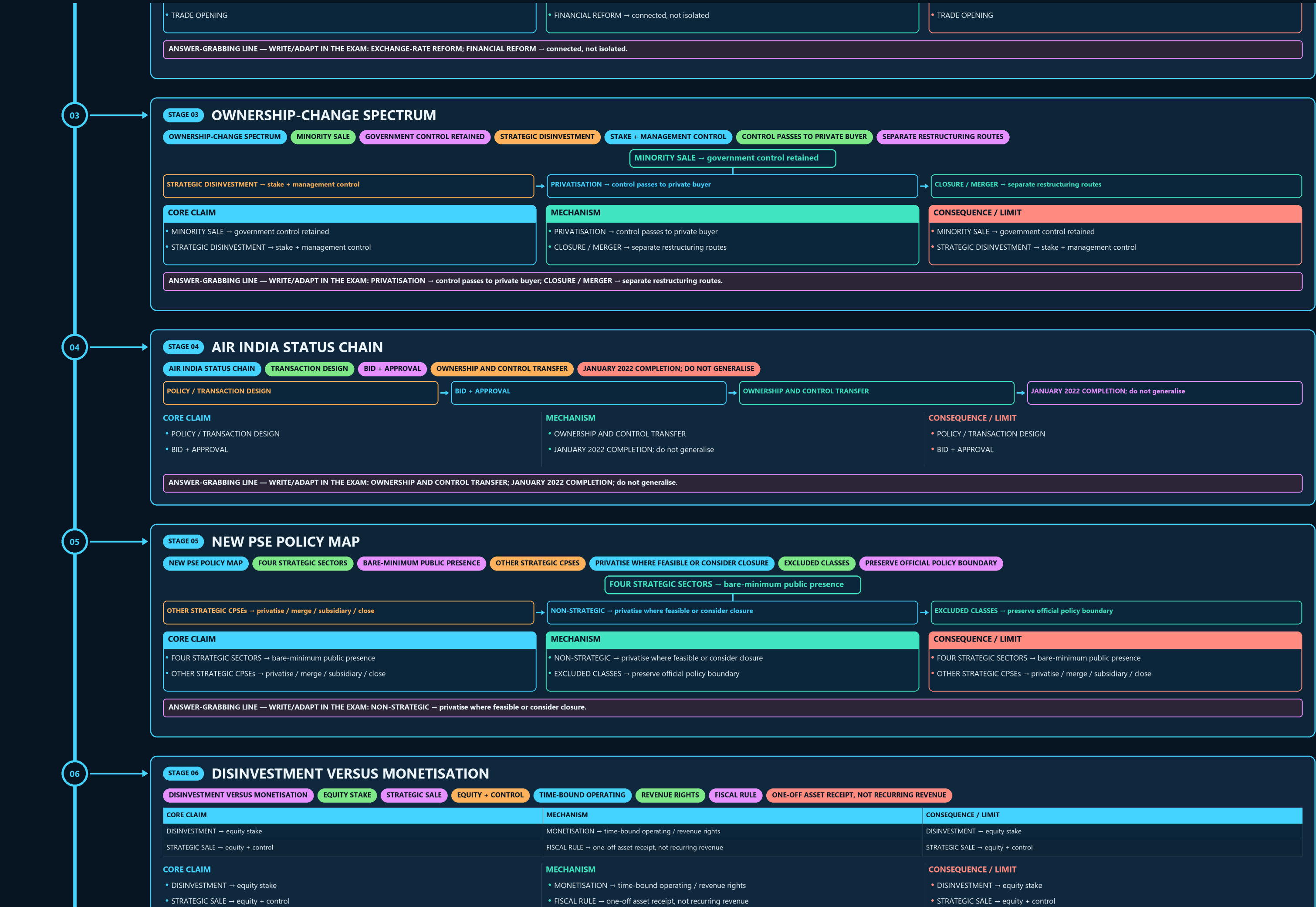
Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • source generation g4 and all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles





ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: NON-STRATEGIC → privatise where feasible or consider closure.

06

STAGE 06 DISINVESTMENT VERSUS MONETISATION

DISINVESTMENT VERSUS MONETISATION EQUITY STAKE STRATEGIC SALE EQUITY + CONTROL TIME-BOUND OPERATING REVENUE RIGHTS FISCAL RULE ONE-OFF ASSET RECEIPT, NOT RECURRING REVENUE

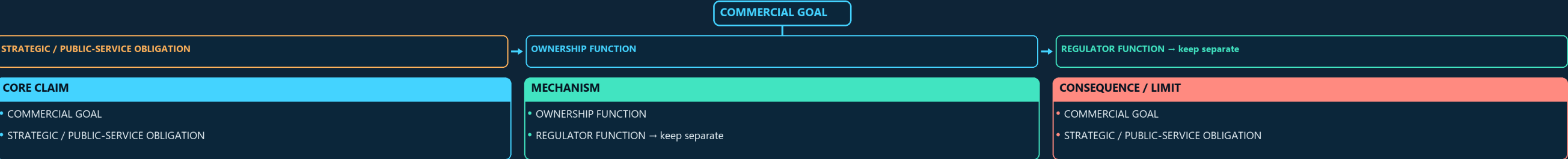
CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
DISINVESTMENT → equity stake	MONETISATION → time-bound operating / revenue rights	DISINVESTMENT → equity stake
STRATEGIC SALE → equity + control	FISCAL RULE → one-off asset receipt, not recurring revenue	STRATEGIC SALE → equity + control
CORE CLAIM - DISINVESTMENT → equity stake - STRATEGIC SALE → equity + control	MECHANISM - MONETISATION → time-bound operating / revenue rights - FISCAL RULE → one-off asset receipt, not recurring revenue	CONSEQUENCE / LIMIT - DISINVESTMENT → equity stake - STRATEGIC SALE → equity + control

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: FISCAL RULE → one-off asset receipt, not recurring revenue.

07

STAGE 07 PSU MANDATE BOARD

PSU MANDATE BOARD COMMERCIAL GOAL PUBLIC-SERVICE OBLIGATION OWNERSHIP FUNCTION REGULATOR FUNCTION KEEP SEPARATE

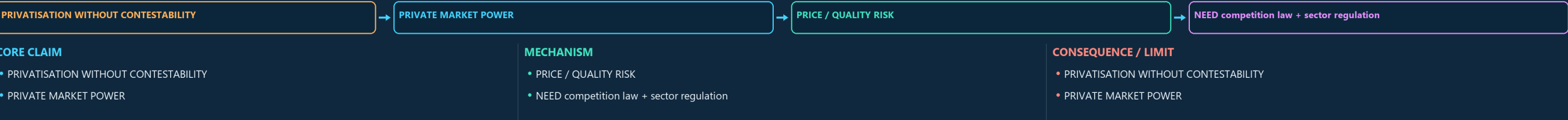


ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: STRATEGIC / PUBLIC-SERVICE OBLIGATION; OWNERSHIP FUNCTION; REGULATOR FUNCTION → keep separate.

08

STAGE 08 COMPETITION SAFEGUARD CHAIN

COMPETITION SAFEGUARD CHAIN PRIVATISATION WITHOUT CONTESTABILITY PRIVATE MARKET POWER QUALITY RISK NEED COMPETITION LAW + SECTOR REGULATION



ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PRICE / QUALITY RISK; NEED competition law + sector regulation.

09

STAGE 09 PLAN-THRUST DISTINCTIONS

PLAN-THRUST DISTINCTIONS SECOND PLAN BASIC INDUSTRY MODERNISATION + PRODUCTIVITY TECHNOLOGY + EARLY DELICENSING POST-1991 INDUSTRIAL + FINANCIAL REFORM CLOSE DISTINCTION LIBERALISATION IS NOT ABSENCE OF REGULATION, PRIVATISATION IS NOT

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
SECOND PLAN → heavy / basic industry	SEVENTH → technology + early delicensing	CLOSE DISTINCTION: Liberalisation is not absence of regulation, privatisation is not...
SIXTH → modernisation + productivity	EIGHTH → post-1991 industrial + financial reform	SECOND PLAN → heavy / basic industry
CORE CLAIM - SECOND PLAN → heavy / basic industry - SIXTH → modernisation + productivity	MECHANISM - SEVENTH → technology + early delicensing - EIGHTH → post-1991 industrial + financial reform	CONSEQUENCE / LIMIT - CLOSE DISTINCTION: Liberalisation is not absence of regulation, privatisation is not... - SECOND PLAN → heavy / basic industry

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Liberalisation is not absence of regulation, privatisation is not.

09

STAGE 09 PLAN-THRUST DISTINCTIONS

PLAN-THRUST DISTINCTIONS

SECOND PLAN

BASIC INDUSTRY

MODERNISATION + PRODUCTIVITY

TECHNOLOGY + EARLY DELICENSING

POST-1991 INDUSTRIAL + FINANCIAL REFORM

CLOSE DISTINCTION

LIBERALISATION IS NOT ABSENCE OF REGULATION, PRIVATISATION IS NOT

CORE CLAIM

SECOND PLAN → heavy / basic industry

SIXTH → modernisation + productivity

MECHANISM

SEVENTH → technology + early delicensing

EIGHTH → post-1991 industrial + financial reform

CONSEQUENCE / LIMIT

CLOSE DISTINCTION: Liberalisation is not absence of regulation, privatisation is not...

SECOND PLAN → heavy / basic industry

CORE CLAIM

• SECOND PLAN → heavy / basic industry

• SIXTH → modernisation + productivity

MECHANISM

• SEVENTH → technology + early delicensing

• EIGHTH → post-1991 industrial + financial reform

CONSEQUENCE / LIMIT

• CLOSE DISTINCTION: Liberalisation is not absence of regulation, privatisation is not...

• SECOND PLAN → heavy / basic industry

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Liberalisation is not absence of regulation, privatisation is not.

10

STAGE 10 OBJECTIVE PYQ DISTINCTIONS

OBJECTIVE PYQ DISTINCTIONS

REGULATORY OFFICE; CIL

STATUTORY BOARD DUTY; NOT ORDINARY TAX

SCHEDULES A/B/C

1956 VINTAGE

ANSWER KEY

NEVER INFER FROM ROUTING

EVIDENCE LIMIT

CCO → regulatory office; CIL → producer

CSR → statutory Board duty; not ordinary tax

SCHEDULES A/B/C → 1956 vintage

ANSWER KEY → never infer from routing

CORE CLAIM

• CCO → regulatory office; CIL → producer

• CSR → statutory Board duty; not ordinary tax

MECHANISM

• SCHEDULES A/B/C → 1956 vintage

• ANSWER KEY → never infer from routing

CONSEQUENCE / LIMIT

• EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Separate 1991 measures by legal/executive...

• CCO → regulatory office; CIL → producer

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Separate 1991 measures by legal/executive.

11

STAGE 11 INDUSTRIAL-POLICY ANSWER SPINE

INDUSTRIAL-POLICY ANSWER SPINE

TRACE CHRONOLOGY AND BINDING CONSTRAINT

DISTINGUISH LICENSING, OWNERSHIP AND CONTROL

TEST COMPETITION, CAPABILITY, JOBS AND REGIONS

CONCLUDE WITH EXPLICIT MANDATES + REVIEW

TRACE chronology and binding constraint

DISTINGUISH licensing, ownership and control

TEST competition, capability, jobs and regions

CONCLUDE with explicit mandates + review

CORE CLAIM

• TRACE chronology and binding constraint

• DISTINGUISH licensing, ownership and control

MECHANISM

• TEST competition, capability, jobs and regions

• CONCLUDE with explicit mandates + review

CONSEQUENCE / LIMIT

• TRACE chronology and binding constraint

• DISTINGUISH licensing, ownership and control

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TEST competition, capability, jobs and regions; CONCLUDE with explicit mandates + review.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT

FIRST-GENERATION REFORMS IMPROVED PRODUCT MARKETS; LATER REFORMS FOCUS ON

A PSU MANDATE SHOULD SEPARATE COMMERCIAL GOALS, EXPLICIT PUBLIC-SERVICE

DISINVESTMENT VALUATION DEPENDS ON CONTROL PREMIUM, MARKET CONDITIONS, LIABILITIES

STRATEGIC INDUSTRIAL POLICY NEEDS MEASURABLE SPILLOVERS AND SUNSET OR

TRADE EXPOSURE RAISES COMPETITIVE PRESSURE BUT FIRMS NEED INFRASTRUCTURE

THE RELEVANT CHOICE IS NOT STATE VERSUS MARKET, BUT

DEPARTMENT FOR PROMOTION OF INDUSTRY AND INTERNAL TRADE

OPTIONAL SOURCE DEPTH

• CAUTION: First-generation reforms improved product markets; later reforms focus on factors,

• CAUTION: A PSU mandate should separate commercial goals, explicit public-service obligations and

• CAUTION: Disinvestment valuation depends on control premium, market conditions, liabilities,

• CAUTION: Strategic industrial policy needs measurable spillovers and sunset or review clauses to

ADVANCED DEBATE

• CAUTION: Trade exposure raises competitive pressure but firms need infrastructure, finance and

• CAUTION: The relevant choice is not state versus market, but which institution solves a specific

• Department for Promotion of Industry and Internal Trade: coordinates industrial

• Department of Public Enterprises: frames public-enterprise policy and performance

LEGACY / NUANCE

• DIPAM: manages Union government disinvestment and asset-management transactions.

• Competition Commission of India and sector regulators: preserve contestability after

• CAUTION: A minority market sale broadens ownership but leaves management control with

• CAUTION: A strategic sale transfers control and therefore changes incentives more deeply than a

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.